
CZECH REPUBLIC 2007

1. Overview of the tax-benefit system

Czech citizens are secured (protected) by three social security systems, i.e. by the social insurance, state social support and social assistance.

The social insurance system addresses such social circumstances as one may get prepared for in advance by depositing certain funds that will serve to solve future social situations. The system includes the unemployment insurance, sickness insurance and pension insurance. Social insurance is funded through contributions made by the employees and employers and by contributions from the state. The system is further complemented with the health insurance and accident insurance.

The state, through the state social support, contributes mainly to the families with dependent children who have encountered a recognised social situation, which the family is unable to manage using its own efforts and means. The system applies the solidarity principle between the high-income families and low-income families, as well as between the childless families and those with children. The state social support benefit concept has been based on the institute of living minimum, stipulated by special legislation and representing a cornerstone in determining the benefit and its amount. At assessing claims for the benefits, the family property is not tested, while the income is reviewed in case of certain benefits. The income is currently subject to examination for the purpose of claims for the child allowance, social allowance, school equipment grant and housing allowance. The income is not examined for the purposes of the parental benefit, foster care benefits, birth grant and funeral grant.

The state, through the social assistance, provides assistance to the citizens whose subsistence needs are not sufficiently covered with the income from a gainful occupation, pension or sickness insurance benefits, or, with other income, as well as to the citizens who need such assistance due to the condition of their health or their age, or who are unable to overcome a difficult life situation or adverse circumstances without help by the state.

Living and Subsistence Minimums exist as a criterion for Allowance for Living in the system of assistance in material need. Amounts of living minimum are different for single person, first adult in family, another adult in family and for children (three categories according to age) and ensure sustenance and other basic personal needs of the family members. The institute of subsistence minimum, in addition to living minimum, sets up a motivation strengthening for unemployed and job seekers. The subsistence minimum ensures personal needs on surviving level (it contains sustenance and about 40% of other basic personal needs in living minimum). Household needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

In general, unemployed persons can receive unemployment benefits for a maximum period of 6 months.

The tax unit is the individual, since 2005 married couples with children are taxed either separately or jointly (using the income splitting method). Deductible items for spouse under given income and tax credits for dependent children are administered.

1.1. *Average worker wage (AW)*

In 2007, the average wage (AW) in the national economy shall increase (according to assumption of the Ministry of Labour and Social Affairs of the Czech Republic) by 7,3 per cent. The 2007 AW earning level is CZK 250710 ¹.

2. *Unemployment insurance*

2.1 *Conditions for receipt*

2.1.1 *Employment conditions*

From 1.10. 2004 (the new Employment Act came into force): the entitlement to unemployment benefits is based on a period of contributions

2.1.2 *Contribution conditions*

12 months of job in the last 3 years – but it is taken into account only the job (or independent gainful activity) on the basis of which the job seeker paid pension insurance contribution and state employment policy contribution

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

50 % in the first three months and 45 % in the following three months, of last earned income net of tax and social security contributions; however, the maximum of the benefits can be up to an amount equals 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted. (see section 4.2.1.)

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3

2.2.2 *Income and earnings disregards*

The job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to unemployment benefits. The monthly minimum wage has been CZK 8000 since 1st January 2007.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 *Benefit duration*

The support period is:

- a) 6 months for job seekers under 50 years
- b) 9 months for job seekers between 50 – 55 years
- c) 12 months for job seekers over 55 years

Providing of unemployment benefits does not depend on whether the loss of employment was voluntary or not.

The unemployment benefit is not provided if the job seeker refuses without serious personal or family reasons to take up a suitable job or start agreed retraining.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment as regards providing of unemployment benefits.

2.5.2 *Older workers*

See section 2.4

2.5.3 *Others if applicable*

3. Unemployment assistance

3.1 *Conditions for receipt*

3.1.1 *Employment conditions*

None.

3.1.2 *Contribution conditions*

None.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

During the period of retraining the job seeker engaged in retraining receives 60 % of last earned income net of tax and social security contributions; however, the maximum of the benefits can be up to an amount equals 0,65 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which he/she has started the retraining. (see section 4.2.1.)

3.2.2 *Income and earnings disregards*

The job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to the benefit during retraining ("retraining benefit"). The monthly minimum wage has been CZK 8000 since 1st January 2007.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

3.4 *Benefit duration*

The benefit during retraining is provided for the whole period of retraining.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

No special treatment as regards retraining benefits.

3.5.2 *Older workers*

No special treatment as regards retraining benefits.

3.5.3 *Others if applicable*

The disabled person is entitled to the retraining benefit during the period of his/her vocational training, even if he/she is not registered as a job seeker

4. Social assistance

The social assistance's objective is to prevent social exclusion and deprivation. The state, through social assistance, provides assistance to citizens who need such assistance due to their state of health or their age, who are unable to overcome a difficult life situation or adverse circumstances without help from the state, to persons whose subsistence needs are not sufficiently covered by income from a gainful occupation, pension or sickness insurance benefits, or by other income (unemployment benefits, state social support allowances and grants, support provided by persons who are required to provide livelihood or pay alimony, etc.). Social assistance may be analysed according to numerous aspects: by relevant legal regulation stipulating their provision, by differentiating whether they represent obligatory or facultative performance, by target group, by type of need to which social assistance responds etc..

Social assistance includes social services and cash benefits (benefits in material need, benefits for people with disabilities, care allowance). The Act on Assistance in Material Need² lays down situations of inadequate means of subsistence or housing, and defines emergencies; these situations are known as cases of material need. They are basically situations where a person or jointly assessed persons do not have enough income and their overall social and financial situation prevent them from enjoying basic living requirements. At the same time, these persons are objectively unable to increase their income. The Act on Assistance in Material Need also deals with certain special circumstances in life that can only be resolved with immediate assistance.

4.1 Conditions for receipt

Benefits of assistance in material need are means-tested.

Allowance for living is provided to a person or a family in case of insufficient income to ensure basic needs (except for needs related to housing) and these persons are not able to increase it due to objective reasons. Persons in material need are entitled to an allowance for living if their income or the income of the jointly assessed persons is lower than the amount of living.

Supplement for housing is provided to a person or a family in case of insufficient income to cover reasonable housing costs. A precondition of an entitlement to a supplement for housing is the existence of an entitlement to allowance for living and an entitlement to a housing allowance from the system of state social support. A supplement for housing may be granted (with consideration for the overall social and financial status) to persons who have not been granted an allowance for living.

Extraordinary immediate assistance is provided in adverse or exceptional situations where persons are not in material need but it would be advisable to provide them with assistance per saltum.

To become eligible to benefits in material need the conditions are: permanent residence, impossibility to obtain an increased income by using own efforts, in particular by gainful activities, through the due application of entitlements and claims, through the sale or other disposal of the persons' property to remedy his or her present situation. In case of unemployment, the unemployed person has to be registered with the public employment service and upon request participate in public works organized by municipalities. Effort to obtain income through working is not required from old age and invalidity pensioners, persons over 65, dependent children, parents caring for children, careers of care-dependent

² Act no.111/2006 Coll., On Assistance in Material Need, as amended.

person, and persons who are temporary sick, meeting other prescribed conditions. In case of family with children, proper compulsory school attendance of children is demanded.

4.2 *Calculation of assistance in material need benefit amount*

4.2.1 *Calculation of gross benefit*

The amount of the allowance for living is set as the difference between the amount of living of a person/jointly assessed persons and the income of that person/ jointly assessed persons less reasonable housing costs. The amount of living of a person/ jointly assessed persons is determined with regard to income, the opportunities to increase this income, financial status and other circumstances (e.g. costly dietary requirements, the duration of the material need, and an active approach in the search for employment). The amount of living is derived from the living minimum and subsistence minimum and is set on a case-by-case basis based on an evaluation of the person's efforts, opportunities and needs.

The amount of the supplement for housing is calculated in such a manner that the amount by which the income of the relevant person/jointly assessed persons (including any disbursed allowance for living) exceeds the amount of living of that person/jointly assessed persons is deducted from the amount of reasonable housing costs in a given calendar month (reduced by the housing allowance from the system of state social support for the previous calendar month). Reasonable housing costs include rent (up to the limit stipulated by law³), services related to housing, energy costs.

³ Act no.107/2006 Coll., On One-side Rise in Rent from Apartment, as amended.

Monthly amounts:

Living minimum

single:	CZK 3,126
first person in household:	CZK 2,880
second and other persons who are not a dependant child:	CZK 2,600
dependant child	
• under 6 years:	CZK 1,600
• 6 - 15 years:	CZK 1,960
• 15 - 26 years:	CZK 2,250

Subsistence minimum: CZK 2,020

The necessary costs of housing are not included in the sums of living minimum and subsistence minimum since 01.01.2007.

Examples of living minimum for:

Single person household:

CZK 3,126 (€ 109)

One adult with one child aged 7 years:

$2,880 + 1,960 = \text{CZK } 4,840$ (€ 168)

Two adults and two children aged 5 and 11 years:

$2,880 + 2,600 + 1,600 + 1,960 = \text{CZK } 9,040$ (€ 315).

Subsistence minimum (instead of living minimum) is used for calculation of allowance for living for adult person as a "sanction" for indolent person being out of work for more than 6 months.

4.2.2 Income and earnings disregards

See above-mentioned conditions for receipt.

4.3 Tax treatment of benefit and interaction with other benefits

Not taxable. Benefits in material need and social assistance benefits for disabled can be received at the same time as in-work earnings and any other benefit.

4.4 Benefit duration

As long as the conditions are fulfilled.

4.5 *Treatment of particular groups*

In general, benefits in material need have no special treatment of particular groups. But for certain persons (see section 4.1) less strict conditions are applicable. In addition, in system of social assistance benefit for disabled, there are more than 10 30 benefits personalized for care-dependent and disabled people.

5. Housing benefits

5.1 Conditions for receipt

Housing allowance is a recurrent, income-tested benefit; income in the previous calendar quarter is tested. The housing allowance is designed to assist low-income families and individuals to cover expenditure connected with housing. The allowance does not cover the whole housing costs; it only makes a contribution to the coverage of housing costs. Housing benefits are granted irrespective of the type of housing. The actual costs of housing paid in the previous calendar quarter are taken into account. Property owners or tenants registered as permanently resident in that property are entitled to a housing allowance if 30% (in Prague 35%) of family income is insufficient to cover housing costs and at the same time that 30% (in Prague 35%) of family income is lower than the relevant prescriptive costs.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount of housing benefit for a calendar month is computed as the difference between the prescriptive housing costs and the family's decisive income multiplied by a coefficient of 0.30 (0.35 in Prague).

Prescriptive housing costs are differentiated according to type of housing (tenement, cooperative, private), size of municipality (6 categories), number of persons in a family. Amounts of prescriptive housing costs are set by law⁴ and they are valid for one calendar year.

Prescriptive housing costs for rental units					
valid from 1. 1. 2007 to 31. 12. 2007 in CZK					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	3 339	2 893	2 659	2 518	2460
2	4 926	4 233	3 913	3 721	3640
3	6 764	5 858	5 440	5 188	5083
4+	8 545	7 453	6 948	6 644	6517

Prescriptive housing costs for cooperative and private units
valid from 1. 1. 2007 to 31. 12. 2007 in CZK

⁴ Act no. 117/1995 Coll., On State Social Support, as amended.

Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	2 236	2 236	2 236	2 236	2 236
2	3 362	3 362	3 362	3 362	3 362
3	4 730	4 730	4 730	4 730	4 730
4+	5 978	5 978	5 978	5 978	5 978

Decisive family income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purpose of the housing allowance calculation, the decisive income includes parental allowance and child allowance. If the decisive family income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

Housing allowance belongs to state social support, it is not a part of assistance in material need. But: a precondition of an entitlement to a supplement for housing from assistance in material need is the existence of an entitlement to a housing allowance from the system of state social support.

5.2.2 *Income and earnings disregards*

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Housing allowance can be received at the same time as in-work earnings and any other benefit.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

None.

6. Family benefits

Family benefits (State social support system) consist of:

- i) The benefits related to family income⁵ (child allowance (in section 6), social allowance (in section 9), school equipment grant).
- ii) The benefits provided irrespective of income (parental allowance (in section 7.2), foster care allowances, birth grant, funeral grant).

6.1 Conditions for receipt

Each child under 15 years old (until the end of compulsory education), or under 26 years old (if in full-time education, vocational training or disabled) is entitled to the *child allowance*. The family has to meet certain income criteria. Income of the family must be under 4.0 living minimum (for amounts of living minimum see tables in the social assistance section).

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Child allowance is the basic long-term allowance provided to a dependent child (15/26 years old – see above) with the objective to contribute to the coverage of costs incurred in his upbringing and sustenance. Child allowance is provided at three levels depending on last year's family income.

A dependent child is entitled to child allowance:

- At the increased rate, *i.e.* the child living minimum amount multiplied by a coefficient of 0.36, if the decisive family income does not exceed the family living minimum multiplied by a coefficient of 1.50.
- At the basic rate, *i.e.* the child living minimum amount multiplied by a coefficient of 0.31, if the decisive family income exceeds the family living minimum multiplied by a coefficient of 1.50 but does not exceed the family living minimum multiplied by a coefficient of 2.40.
- At the reduced rate, *i.e.* the child living minimum amount multiplied by a coefficient of 0.16, if the decisive family income exceeds the family living minimum multiplied by a coefficient of 2.40 but does not exceed the family living minimum multiplied by a coefficient of 4.00.

⁵ Income which is taken into account for decisions on entitlement to State social support allowances includes income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income derived from property, etc., and also sickness and unemployment benefits and pensions, including similar income from abroad. The bulk of the income, which is taken into account for the purpose of these allowances, is defined by the income tax legislation. Taken into account is net income after deduction of expenses incurred in generating and maintaining that income, and after deduction of income tax, social insurance contributions, contributions towards the State employment policy and towards health insurance.

Amount of child allowance according to family income and age (in CZK per month)
Since 1st January 2007

Dependent child	Increased rate	Basic rate	Reduced rate
under 6 years	576	496	256
6-15 years	706	608	314
15-26 years	810	698	360

6.2.2 *Income and earnings disregards*

See above.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Child allowance can be received at the same time as any other benefit or in-work income.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7. Childcare for pre-school children

Pre-school care facilities are divided into public (state) and private. Among public facilities there are crèches for children up to 3 years of age and kindergartens for children from 3 to 6 years of age. There are special kindergartens for physically and mentally handicapped children. Their founders are state, region, municipality or associations of municipalities. Components of private facilities are running business “securing childcare for children up to 3 years of age” and “parent centres” (citizen associations or public benefit associations) that are attended by small children with their parents. The highest percentage of children is in the last year of kindergarten which is, in fact, preparation for basic school.

Participation rate in pre-primary education

	2000/2001	2001/2002	2002/2003	2003/2004	2004/2005	2005/2006
Age group	%	%	%	%	%	%
3-5	85.8	85.6	87.5	88.7	89,73	87,23
under 3 years of age	20.8	22.4	24.5	*26.0	26,8	25,5
6 years old	23.0	22.3	22.5	24.0	23,8	23,3

Source: Institute for Information on Education (data for school year 2004/2005 will be published in summer 2005)

- „Category under 3 years of age“ – Out of 26% of children who attend daily care facilities for children under 3 years of age 1% of these children attend special care facilities for children under 3 years of age, 25% of children between 2 – 3 years of age attend daily care facilities for children over 3 years which are not specialized in such small children. In the 90s there was in the Czech Republic a wholesale close down of care facilities for children under 3 years of age: from 1.043 of such facilities in 1990 to 60 facilities in 2003. Those facilities were closed down without an adequate compensation. This measure was accompanied by support of domestic care for small children by their parent. The reason was interest in child health protection. The capacity of childcare facilities for small children is insufficient in the Czech Republic at the present time.

According to the Education Act No. 561/2004 Coll. §36 compulsory school attendance shall start at the beginning of the school year following the date when a child reaches six (6) years of age, unless he/she is permitted postponement. A child who reaches six years of age at the period between the beginning of a relevant school year and the end of the calendar year may be admitted to compulsory school attendance in the school year concerned if such a child is physically as well as mentally adequately mature and if his/her statutory representative so requests. The statutory representative of a child shall be obliged to register the child for compulsory school attendance from 15th January until 15th February of the calendar year during which the child should begin compulsory school attendance.

7.1 Out-of-pocket childcare fees paid by parents

The founder (town, municipality) sets and covers from its budget the amount of non-investment costs associated with child's stay in a crèche according to the Act No. 48/1997 Coll. about public health

insurance. The amounts depend on decisions of the founders. The founder has also the right to decide on reducing monthly payments for specific groups of parents – like unemployed, students and lone parents.

The cost of daily care for children with permanent stay in the given district is about 1500 Czech crowns per month, for children who do not live in the given district it is about 5000 Czech crowns per month.

In case of private crèche the fee depends on the period that a child spends there daily and weekly. The amount is about 50 – 60 Czech crowns per hour or 250 Czech crowns per whole day.

Regulation No. 14/2005 Coll. of the Ministry of Education, Youth and Sports about pre-school education, which has been valid since 2005, sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. The basic fee is set on accepting the child to the kindergarten and by 1 September of the relevant calendar year.

According to this Regulation the basic fee shall be set in such a way as not to exceed 50% of the real average non-investment costs per child per month in the past calendar year with the exception of expenses on salaries, reimbursements for salaries, or wages and reimbursements for wages, bonuses for work readiness, bonuses for work done on the basis of contract for work out of employment and compensation, social security insurance and state employment policy contribution and health insurance, contributions to funds of cultural and social needs and other expenses emerging from industrial relations, on necessary increase in costs associated with education of disabled children, on school equipment and also expenses on further education of pedagogical staff, on activities that are directly connected to school development and education quality, which are provided from the state budget. The basic fee shall be set for the period from 1 September to 31 August of the following calendar year for all children in the relevant kindergarten at the same amount. Exempt from the fee is a statutory representative of a child who receives social allowance and personal entity who personally takes care of the child and receives foster care allowances and proves this fact to the head of the kindergarten.

The basic fee for the relevant calendar month might be proportionally reduced for a statutory representative of a child who did not attend the kindergarten not a single day of the relevant month and for a statutory representative of a child under 3 years of age whose kindergarten attendance is limited to the maximum of 5 calendar days in a calendar month on grounds of reception of parental allowance by the parent. The reduction shall not be higher than half of the basic fee. Since February 2006, the basic fee for the relevant calendar month might be also proportionally reduced for a statutory representative of a child from 3 years of age whose kindergarten attendance is limited to 4 hours maximum per day, all without reduction on grounds of reception of parental allowance by a parent. The fee for calendar month shall be paid by 15th day of the relevant calendar month provided there is no other agreement between the statutory representative and the head of the kindergarten.

Care in parent centres is provided either free of charge (if it is provided on volunteer basis by particular mothers) or for a symbolic fee (about 25 Czech crowns for one morning). About 20% of these centres work on commercial basis.

Private agencies providing childcare are usually used by high income and career-oriented families. Such kind of child care costs 70 – 150 Czech crowns per hour according to the total care time, selection of agency, place where the childcare takes place and the number of children.

Childcare fees are not tax deductible and their amount is not taken into regard in the social assistance system.

7.2 *Child-care benefits*

The parental allowance.

7.2.1 *Conditions for receipt*

The parent is entitled to the parental allowance if he/she personally provides full-time and regular care for at least one child up to the age of 4 years, or up to the age of 7 years in case the child suffers from a long-term incapacity or severe long-term incapacity.

Except certain situations concerning disabled children or disabled parents, while receiving parental allowance it is possible to place the child into a pre-school care facility for a limited period only. The condition of personal all day care is considered fulfilled if a child under three years of age attends a crèche or any other institution for less than five calendar days a month and if a child over three years of age regularly attend a pre-school institution for less than four hours a day. (Every commenced day is counted even though those were only 1 or 2 hours.)

Parental allowance is also provided to parent who has income from gainful activity. But together with a condition of limited placement of a child in a crèche or a kindergarten the other condition has to be met: during the gainful activity of a parent, care of a child has to be ensured by another adult person.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

The amount of parental allowance for a calendar month is determined as 40% of the average monthly wage in the non-entrepreneurial sphere; as of 1 January 2007 it is CZK 7,582 per month.

7.2.2.2 *Income and earnings disregards*

The parent's income is not tested while receiving parental allowance.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

None.

7.2.4 *Treatment of particular groups*

See 7.2.1: parental care for disabled children and care of disabled parents for healthy children are advantaged – longer period for parental allowance in the first case and the possibility of placing the child to a pre-school care facility for 4 hours a day in both cases.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

There is no particular lone parent benefit. Within State social support system, situation of lone parents are reflected in a social allowance.

Social allowance is a recurrent, income-tested benefit; income from the preceding calendar quarter is tested. The objective of the allowance is to assist families with low income to cover the costs of their children's needs. For an entitlement to social allowance, two conditions must be met: care for at least one dependent child, and family income not exceeding a fixed limit. The benefit is granted to a parent who takes care of a dependent child (children) and if the decisive family income is less than 2.2times the family's living minimum. There is a marked differentiation in the amounts of social allowance. The allowance gradually diminishes as the family income grows. Not only low income but also unfavourable life situations influence the level of benefit. This applies to care for a disabled child; cases of disabled parents or of single parents are reflected as well. A higher level of social allowance is also paid to families in cases of multiple births (up to the three years of child's age) and to families whose child is studying secondary school or university. The social allowance eligibility is independent on parent's working activity.

The amount of social allowance for a calendar month is computed as the difference between the living minimum for the child (or the children) and a fraction, in which the numerator is the amount of living minimum for child/children multiplied by the family's relevant income (if relevant family income is lower than living minimum of the family, living minimum of the family is used), and the denominator is the amount of the family's living minimum (for living minimum see section 4.2.1) multiplied by a coefficient of 2.2.

$$SA = CMLS - \frac{CMLS \times I}{FMLS \times K}$$

SA Social allowance.

CMLS Child (children) living minimum (three levels based on the child's age).

I Decisive family income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the social allowance calculation, the decisive income includes parental allowance and child allowance.

If the decisive family income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

FMLS Living minimum of the family (sum of living minimum amounts of each family member).

K Coefficient is 2.2

Special situations reflected by the coefficient K:

- If the child has a long-term severe health handicap, CMLS is multiplied by a coefficient of 3.0.
- If the child has a long-term health handicap, CMLS is multiplied by a coefficient of 2.67.
- If the child has long-term ill health, CMLS is multiplied by a coefficient of 1.34.
- If there are children under 3 years born at the same time, CMLS is multiplied by a coefficient of 1.22.
- If the child studies at secondary school or at university, CMLS is multiplied by a coefficient of 1.20.
- If both parents have a long-term severe health handicap, are multiplied by a coefficient of 1.35.
- If a lone parent has a long-term severe health handicap, CMLS and FMLS are multiplied by a coefficient of 1.3.
- If one of the parents has a long-term severe health handicap, CMLS and FMLS are multiplied by a coefficient of 1.05.
- In cases of a lone parent (without a health handicap), CMLS and FMLS are multiplied by a coefficient of 1.17.

The amount of social allowance for one child, measured by income, in multiples of the living minimum amount in CZK per month

Since 1st January 2007

Age of dependent child:	Amount of allowance/family income in previous quarter		
	1,0 living minimum	1.6 living minimum	2.0 living minimum
Less than 6 years	873	437	146
6 - 15 years	1070	535	179
15 - 26 years	1228	614	205

9.1 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Social allowance can be received at the same time as in-work earnings and any other benefit.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- *Basic relief:* Abolished as of 1 January 2006.
- *Marital status relief:* Abolished as of 1 January 2006.
- *Relief for social and health security contributions.* Employees' social security contributions (see Section 2.1) are deductible for income tax purposes.

10.1.1.2 Standard tax credits

- Credit of CZK 7200 for all taxpayers, introduced in 2006. Both partners of a married couple with children are entitled to this credit even if one of them earns no income and the spouses claim the joint taxation.
- Credit of CZK 4200 is given in respect of a spouse living in a common household if that spouse earns no more than CZK 38 040. The principal is eligible to receive this credit even if they opt for joint taxation, introduced in 2006.
- *Credit for children:* Payable tax credit of CZK 6000 per child, introduced in 2005, (irrespective of the child's own income) if the child satisfies one or more of the following criteria:
 - aged below 18
 - aged below 26 and receiving full-time education
 - aged below 26 and physically or mentally disabled provided that the child is not in receipt of a state disability payment

10.1.2 The definition of taxable income

It is the gross earnings minus the social security contribution and the health insurance contribution and the above tax allowances.

10.1.3 The tax schedule

Taxable income (CZK)	Marginal tax rate (%)	Tax on lower limit (CZK)
0 – 121 200	12	0
121 200 – 218 400	19	14 540
218 401 – 331 200	25	33 012
331 201 +	32	61 212

10.2 Treatment of family income

The tax unit is the individual. Since 2005, spouses with children can be taxed in one of two ways (tax-payer chooses):

- As married individuals filling separately and reporting actual income of each spouse or
- As married couple filling jointly (using the income splitting method) on the combined income of both spouses.⁶

10.3 Social security contribution schedule

Compulsory contributions of 12.5 per cent of gross wages and salaries (with no limit) are paid by all employees into government operated schemes. The total is made up as follows (in %):

Contributions	Percentage of gross earnings
Health insurance	4.50
Social insurance	
Sickness	1.10
Old age pension	6.50
Unemployment	0.40
Total	12.50

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

⁶ This is the option in the model since joint taxation will be always more advantageous.

11. Part-time work

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced in the last year (2006/2007)

During the years 2006/2007 the Employment Act No. 435/ 2004 Coll. has been amended several times, from the points of view of the unemployment benefits is important the change in the duration of benefits for registered unemployed over 50 years where comparing to the previous regulation the prolongation of the support period depends only on the age of the unemployed.

In the field of pension insurance, the Pension Insurance Act (Act No. 155/1995 Coll.) was amended.

As of 1 July 2006, **widows**, whose entitlement to widow's pension arose before 1 January 1996, and whose pension amount was reduced as a result of the total of pension amounts exceeding the determined limit, are **entitled to the difference between the amount of widow's pension paid and the amount, to which they would have been entitled in case the amount of pension hadn't been reduced as a result of concurrence with another pension**. Widows, to whom widow's pension is not paid as a result of concurrence with another pension, are entitled to widow's pension in the amount, to which they would have been entitled in case of no reduction. The amount of pension determined in such a way is subject to increase according to provisions on pension increase from the day when a pension was granted to the day from which the adjustment is made.

As of 1 July 2006, the period of a childcare is determined in case of all insured persons (men and women) in the same way, i.e. via statutory declaration submitted together with the application for pension. Via this change the finding of the Constitutional Court from 6 June 2006 was incorporated in the legal system. (While women prove the period of childcare in their statutory declaration when submitting the application for pension, men were until now obliged to submit an application for the participation in the insurance and a proposal for issuing a decision of Regional Social Security Office concerning period and extent of childcare). The principle of calculating the same period of the care of the same child only to one insured person, or in case of a coincident care, to the insured person taking care of the child to a larger extent.

In the field of sickness insurance, the entry into force of the new Act on Sickness Insurance (Act No. 187/2006 Coll. and Act No. 189/2006 Coll.) was postponed until January 2008 and subsequently until January 2009.

In the field of social insurance, the Social Security and State Employment Policy Contributions Act (Act No. 589/1992 Coll.) was amended.

As of 1 January 2007, the assessment base for employers and employees liable to pay contributions was approached to income tax assessment base, i.e. incomes subject to income tax (with several exceptions) are newly included into the contribution assessment base.

Three new acts related to social benefits were implemented on 1st January 2007. Strengthening the financial incentives for job-search in the welfare system and stricter control on eligibility for social benefits are the principle objectives of new social legislation.

The new Act on Living and Subsistence Minimum, effective since 1st January 2007, that overrules the Act on Minimum Subsistence Level changes the former concept of two components (amounts needed to ensure sustenance and other basic personal needs and amounts needed to assure household needs) and it introduces only one component for ensuring sustenance and other basic personal

needs. Household needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

Consequently, all benefits using minimum subsistence level as a base from which benefits' claims and amounts are derived are re-valuated.

The new Act on Assistance in Material Need, effective since 1st January 2007, creates entirely new solution of assistance in material need, limits long-term dependence on social benefits and consequently prevents social exclusion. It connects assistance furnishing with evaluation of activity directed at increasing income by own endeavour. Fundamentals of the new act are responsibilities of individuals for their own social situation. First of all the new act motivates people to accept a job and even a low paid job. New legal measures give (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working. Incomes from gainful activities will be calculated for material need appraisal in part only. On the other hand, applicants for assistance in material need who will not collaborate e.g. in job-search will receive lower benefits.

A new Act on Social Services (No. 108/2006 Coll.), also effective since 1st January 2007, introduces a new benefit for disabled – care allowance differentiated according recipient's dependency on assistance of other person.

12.2 *Policy changes announced*

In early 2006 a new Labour Code was passed in the lower Chamber of the Parliament. The proposal of the new Labour Code should bring two fundamental changes to industrial relations, which should improve flexibility of employment – non-mandatory character of new Labour Code and the relation to Civil Code. The new Labour Code, if approved, will bring wider contractual freedom. While the underlying principle of the current labour law legislation in use can be described by the phrase “whatever is not allowed is prohibited”, the new Labour Code coins a new principle, namely: “whatever is not prohibited, is allowed”. This is expected to allow for greater liberalisation in industrial relations. Note: The year 2006 is a year of election for House of Deputies of the Czech Parliament. All political parties standing out for chairs in the lower chamber of the Parliament announce more or less substantial changes of tax and social benefit systems in their election programmes. Preparation, approval and implementation of these changes will be a task of a new Government coming from June election.

The Government's reform plans, in September 2007 approved by the Parliament, imply restrictions also in the welfare system. The fiscal package proposed following changes to family benefits: child allowance at fixed amount of CZK 500, 610, 700 according to child's age for families with income up to 2.4 times their living minimum; social allowance for families with income up to 2.0 times their living minimum; birth grant at fixed amount of CZK 13000 per child; parental allowance at three rates by duration of drawing set in fixed amount (increased rate of CZK 11400 up to 24 month of child's age, basic rate of CZK 7600 up to 36 month, reduced rate of CZK 3800 from 21 up to 48 month). In system of assistance in material need, stricter conditions for eligibility for benefits are introduced related to long-term unemployed persons not proving sufficient job searching activities.

In the field of pension insurance, a new proposal for parametric changes of basic pension insurance was prepared, containing primarily 3 following measures:

Continuing gradual increase of retirement age up to 65 years for both men and women.

Extending the necessary insurance period for old-age pension entitlement from 25 up to 35 (resp. 30) years.

Changing the definition of the term "invalidity", consisting in introducing 3 levels of invalidity.

In the field of sickness insurance, following measures were taken within the framework of public finance stabilisation:

The entry into force of the new Act on Sickness Insurance (Act No. 187/2006 Coll. and Act No. 189/2006 Coll.) was postponed until January 2008 and, subsequently until January 2009, i.e. for another year.

As to compute the amount of sickness benefit, following changes will be implemented (as of 1 January 2008 for benefits according to the current Act; as of 1 January 2009 for benefits according to the new Act):

- The reduction limit for the amount of sickness benefit shall not be increased for 2008.
- As to compute amount of sickness benefit and financial support for care of family members, 90 % of the daily assessment basis will be calculated until the first reduction limit.
- For the first 3 calendar years of incapacity to work, no entitlement to sickness benefit shall arise (so called deficiency period).
- **The daily amount of sickness benefit** shall be computed from the daily (reduced) assessment base by following rates:
 - **60 %** in case of 4 up to 30 calendar days of incapacity to work;
 - **66 %** in case of 31 up to 60 calendar days of incapacity to work;
 - **72 %** in case of 61 and more calendar days of incapacity to work.
- **The daily amount of financial support for care of family members** shall be computed from the daily (reduced) assessment base by 60 %.

In the field of social insurance, the introduction of the maximal assessment base for social insurance was among measures taken within the framework of public finance stabilisation.

The maximal assessment base shall be considered as a yearly one, amounting to 48-multiple of the average income (it shall be regularly, automatically increased).

In case of concurrence of several (subsequent or coincident) employment relationships during a year, the maximal assessment base shall refer to the total of incomes from all employment relationships.

In case of performance of independent gainful activities during a year, the maximal assessment base shall refer to the total of incomes from all employment relationships and all independent gainful activities.